MARKETING AND PHARMACOECONOMICS (NP 803)

PHARMACY PHARM D PROGRAM (2023/2024)

MARKETING

AIM OF THE COURSE

The course aims to give students a background of marketing principle and concepts as it specifically relates to the pharmaceutical industry and practice. It also prepares the students to a variety of careers in pharmacy such as pharmaceutical sales, health information management, advertising, promotion and marketing.

OBJECTIVES

At the end of this course, the student will be able to know and understand:

- Marketing definition, principles and concepts
- Pharmaceutical industry and pharmaceutical marketing
- Pharmaceutical market research and marketing environment
- Pharmaceutical marketing mix
- Pharmaceutical marketing plan and strategy
- Pharmaceutical products, launch new product and product life cycle
- Consumer buying behavior and patient choices
- Promotion and advertising methods
- Marketing communication and selling skills

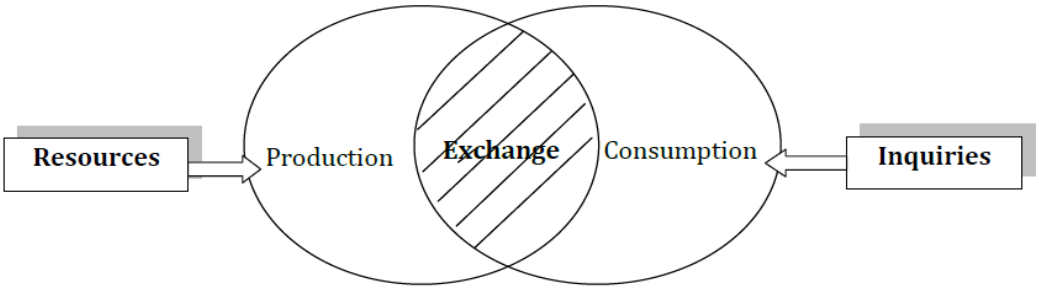
READING MATERIALS

1. Pharmaceutical Marketing: Principles, Environment, and Practice. (Eugene Mick Kolassa, James Greg Perkins, Bruce R Siecker)
2. Pharmaceutical Marketing (Brent L. Rollins, Matthew Perri)
3. Principles of pharmaceutical marketing. (Mickey Smith)
4. Pharmaceutical Marketing. A Practical Guide. (Dimitris Dogramatzis)
5. Pharmaceutical Marketing: Strategy and Cases. (Mickey Smith)

MARKETING

What is a Market?

- A market consists of all the potential customers sharing a particular need or want who might be willing and able to engage in exchange to satisfy that need or want. (Philip Kotler)
- A market is the set of actual and potential buyers of a product. It may exist in a physical environment as a marketplace or in a virtual environment (on the internet) as a marketspace.



Market definition

What is Marketing?

- The term "marketing" is derived from the word "market" which refers to a group of sellers and buyers that cooperate to exchange goods and services.
- Marketing is a means of attracting people to do something they would not do or to buy something they do not really want to buy.
- Marketing is an ongoing process of research, planning, and evaluating. The principle of marketing is learning what your customers want and then delivering it. It is a way of satisfying customer needs and solving problems while making a profit.

Marketing Definition:

There are many definitions of marketing. Marketing is defined as satisfying needs and wants through an exchange process.

- **American Marketing Association Definition:** Marketing is the process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods and services to create exchanges that satisfy individual and organizational goals.
- **Chartered Institute of Marketing Definition**: 'Marketing is the management process that identifies, anticipates and satisfies customer requirements profitably'

- **Kotler 1980:** 'Marketing is the human activity directed at satisfying human needs and wants through an exchange process'
- **Kotler 1991:** 'Marketing is a social and managerial process by which individuals and groups obtain what they want and need through creating, offering and exchanging products of value with others'
- **Kotler & Keller (2006):** "The art and science of choosing target marketing, keeping and growing customers through creating, delivering and communicating superior customer values".
- **Adcock et al:** 'The right product, in the right place, at the right time, and at the right price'

The goal of marketing is to use a careful analysis of consumers' needs and wants to create a value (profit) that will be able to meet their expectations. Marketing uses sophisticated methods for researching the market consumer behavior and competition to fulfill consumers' needs.

The importance of marketing is highlighted by the fact that a large number of producers with identical and/or similar offer are competing on a limited marketing, and targeting the same consumer group. Therefore, the management process of marketing includes:

- Analysis/Audit - where are we now?
- Objectives - where do we want to be?
- Strategies - which way is best?
- Tactics - how do we get there?
- Implementation - Getting there!
- Control - Ensuring arrival

Why are Studying Pharmaceutical Marketing?

- Marketing is the art of selling pharmaceutical products and services.
- The principles of marketing are applicable to both small as well as large pharmacy corporate.
- As pharmacy continues to evolve marketing's role grows in importance (Hepler and Strand, 1990).
- Market place still suffering from improper coverage of negative drug therapy consequences, may be due to prescriber, patient and buyer demand that present a barrier to the patient (customers) centered pharmacy services.
- Patients' needs will affect creating, delivering and communicating values, which are the key of drug marketing.

- Pharmacist must build the demand and supply for the pharmaceutical care services simultaneously" (Rovers and Colleagues, 1998).
- Pharmaceutical care marketing strategy will differ fundamentally from product centered selling services" (Hepler & Strand 1990).

What is Pharmaceutical Marketing?

- **Pharmaceutical marketing:** is marketing of pharmaceutical products into the market." In other words pharmaceutical marketing is the branch dealing with marketing of pharmaceutical areas like manufacturing, sale, distribution, isolation, identification, action and reactions of drugs with analysis and development of new drugs**.**
- Pharmaceutical marketing: can be defined as a process by which market for pharmaceutical care is actualized.

- Pharmaceutical marketing, sometimes called **medico-marketing** or **pharma marketing** in some countries is the business of advertising or otherwise promoting the sale of pharmaceuticals or drugs.

- Pharmaceutical marketing is the last element of an information continuum, where research concepts are transformed into practical therapeutic tools and where information is progressively layered and made more useful to the health care system. Thus, transfer of information to physicians through marketing is a crucial element of pharmaceutical innovation.

Everything pharmacists do can be called marketing (Every pharmacist is a marketer)

Examples:

- Dispensing a drug
- Helping patients select OTC medications
- Taking a patient's blood pressure
- Counseling patients about drug regimens
- Providing drug information to patients or health professionals
- Recruiting pharmacists for a new job
- Educating pharmacy students

What is marketed?

The term **"marketing"** is commonly associated with the marketing of goods—i.e. physical products only. Thus, a common myth in regard to marketing is that only physical products can be marketed, and not services. This is why many professionals, including clinical pharmacists, believe that only pharmaceutical manufacturers and distributors such as wholesalers and "druggists" should deal with marketing of pharmaceuticals, and that professionals involved in providing clinical services should avoid marketing.

Marketing can be used for all products, goods, services, ideas and others that have want-satisfying capabilities. Hospital pharmacies, community pharmacies, third-party insurance companies and many other organizations, in addition to pharmaceutical manufacturers and drug wholesalers are involved in pharmaceutical marketing.



- **Examples of pharmaceutical products that can be marketed:**
  - Goods: Pharmaceutical drugs
  - Services: Drug information, patient counseling
  - Events: Workshops, seminars, shows
  - Experiences: Patient, pharmacist, physician
  - Persons: Clinical pharmacist, drug information expert
  - Places: Educational and training
  - Properties: drug information center
  - Organization: Pharma company
  - Information: Computer programs, Robotics
  - Ideas: Pillbox, Bar coding

NEEDS, WANTS & DEMANDS

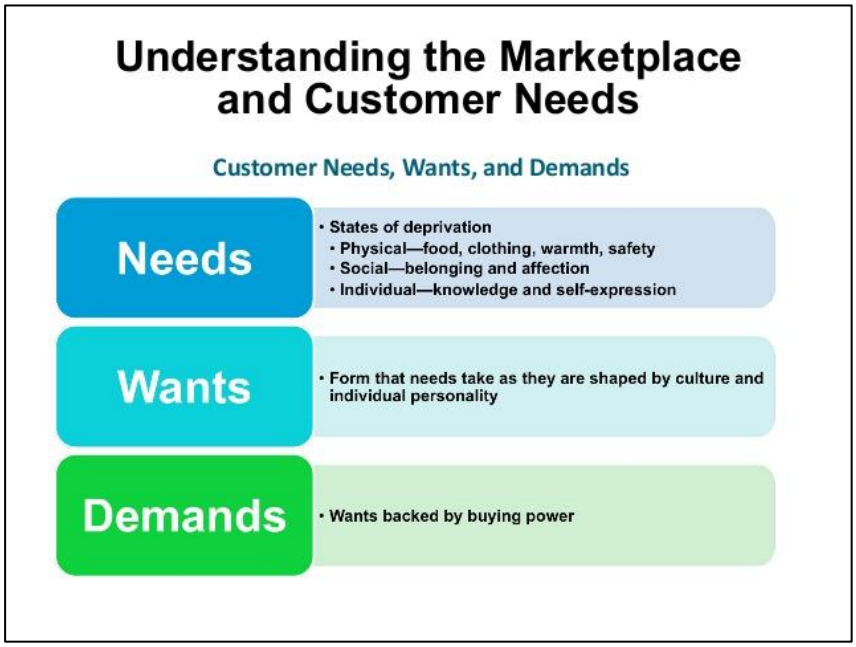
The concepts of need, want and demands are important in marketing. They seem to be the same but there are substantial differences among these terms.

- **NEED:** (What is required to survive?)
  - Is the state of felt deprivation?
  - Physical, social & individual (food, water, clothing, medicines)

- **Want:** (want is a product desired by a customer)
  - Is a desire for specific satisfier of a need?
  - Need become wants and the latter are shaped by the culture and individual personality

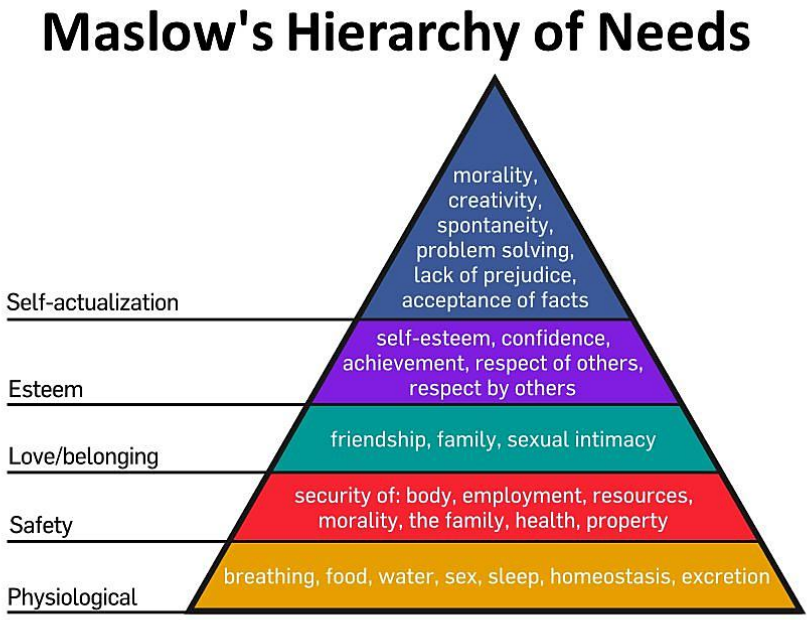
- **Demand:** (Wants backed by buying power-money)
  - Is a want that is backed by an ability to pay?
  - Many people want to live in a palace but only little demand it and have the ability to afford.

- **Value:**
  - Kotler (2003) conceptualize it as "the difference or ratio between the perceived benefits and costs". A consumer perception of value may differ before and after consumption of a product.
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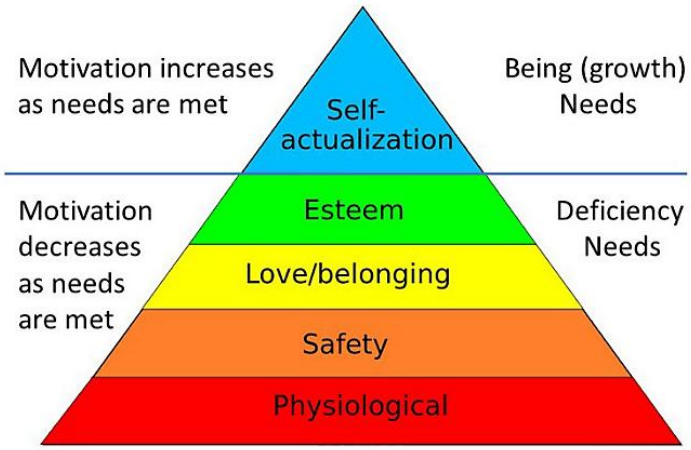


MASLOW'S HIERARCHY OF NEEDS

- Maslow's hierarchy of needs is a motivational theory in psychology comprising a five-tier model of human needs, often depicted as hierarchical levels within a pyramid.
- Needs lower down in the hierarchy must be satisfied before individuals can attend to needs higher up. From the bottom of the hierarchy upwards, the needs are: physiological, safety, love and belonging, esteem and self-actualization.



This five-stage model can be divided into deficiency needs and growth needs. The first four levels are often referred to as deficiency needs (D-needs), and the top level is known as growth or being needs (B-needs)



Marketing Management Concepts/Philosophies

- The marketing management philosophies are those that direct the marketing operation of organization. It guides marketer to plan and implement their activities.
- Keefe (2004) proposed Market Mix 4P's that guided the marketing efforts of an organization (Product, Price, Place, Promotion).
- Philip Kotler has proposed six competing marketing management concepts/philosophies that guided marketing of an organization:
  1. Production concept
  2. Product concept
  3. Selling concept
  4. Marketing concept
  5. Societal marketing concept
  6. Holistic marketing concept

1- Production Concept

- It is the oldest marketing concept concentrate on higher production efficiency and wide distribution.
- It believes that consumer will favor those products that are widely available and low in cost.
- According to Philip Kotler, the production concept suggests that "Consumers will favor those products that are widely available and low in cost. Managers of production oriented organization concentrate on achieving high production efficiency & wide coverage". In this concept all business efforts are directed to produce standardized product and to sell at lower price.

2- Product Concept

- The emphasis on production concept led to the difficulty in selling the products, which eventually forced the business to go for product differentiation.
- The product concept is slight modification on production concept.
- According to Philip Kotler, the product concept holds that "Consumers will favor those products that offer the most quality, performance, & features. Managers in product oriented organization focus their energy on making good products and improving them over time".
- The major emphasis of product concept is on product quality and features.
- It believes that consumers respond to good quality products that are reasonably priced.

3- Selling Concept

- Selling concept evolved out of the failure of the product and production concept.
- According to Philip Kotler, the selling concept holds that "Consumers, if left alone, will ordinarily not buy enough of the organization's products. The organization must therefore take aggressive selling promotion effort".

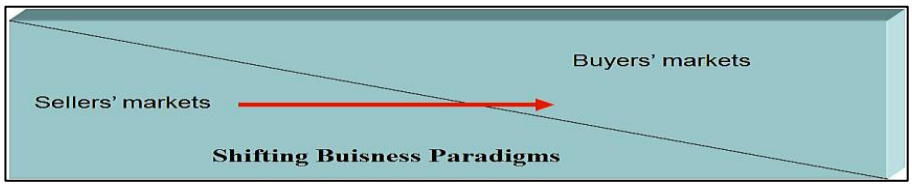
Marketing	Selling
1. Focusses on Customers needs	1. Focusses on Sellers needs
2. Begins before Production	2. Begins after Production
3. Continues after Sale	3. Comes to an end with Sale
4. A Comprehensive Term in terms of Meaning	4. A Narrow Term in terms of Meaning
5. Philosophy of Business	5. Routine day to day Physical Process
6. Profits through Customer Satisfaction	6. Profits through Sales Volume
7. Let the Seller be aware	7. Let the Buyer be aware
8. Integrated Approach	8. Fragmented Approach
9. Long-term Perspective	9. Short-term Perspective
10. Customer first then Product	10. Product first then Customer

4- Marketing Concept

- With the increasing competition, the business started to discover that it is useful to produce what the customer want; rather than what can be produced by the company.
- The marketing concept is based on the notion that the main task of the organization is to identify the needs, wants and value of the target market based on market research.
- According to Philip Kotler, the marketing concept holds that "the key to achieve organizational goals consists in determining the needs & wants of target markets & delivering the desired satisfactions more effectively & efficiently than competitors".
- It believes that the key to achieving organizational objectives lies in being more effective than competitors towards determining and satisfying the need and want of the target markets.
- There must be a full coordination of various marketing activities within organization **(integrated marketing)** to create, communicate and deliver superior value to the customers. Once an organization

adopts the marketing concept customer satisfaction becomes its main focus.

- The modern concept of marketing evolved during and after the industrial revolution in the 19th and 20th centuries.
- The **OLD** view of marketing is: *Making a sale -"telling and selling"*, whereas the **NEW** view of marketing: *"Satisfying customer needs*"



5- Societal Concept

- The marketing concept ignores the potential conflicts among consumer wants, consumer interests and social welfare. The societal marketing concept evolved out of the movements of consumerism and environmentalism. It balances between the interests of the company, consumers and society.
- This philosophy is based on changes the surrounding environment including: deterioration, poverty, resource shortages and neglected social services. Therefore, the organization's task is to determine the needs, wants and interest of the target market to enhance the consumers and societal well-being.
- It believes that the organization should deliver the superior product to the market that maintains the consumers and society's well-being.
- Social and ethical considerations guide marketers' decision must be balanced.



6- Holistic Marketing Concept

- The holistic marketing concept is latest development in marketing thought. According to Philip Kotler: "the holistic marketing concept is based on the development, design, and implementation of marketing programs, processes, and activities that recognizes their breadth and interdependencies." This concept is an integration of the marketing concept and societal marketing concept.

Pharmacy, Medicines and Health

- Pharmacy has a long-standing tradition as a science and trade.
- The pharmaceutical industry is an essential and unique participant in health care around the globe.
- The formation of pharmaceutical industry in the second half of 19th century marked the beginning of standardization of pharmaceutical products and regulation of the industry and the sale of medicines.
- Pharmaceutical drugs has been labeled as "one of the greatest blessings—perhaps the greatest blessing—of our time.
- It is important to recognize the contribution of the pharmaceutical industry to the health and welfare of the public, and to realize that all the developments in the pharmaceutical field and the availability of pharmaceutical products have not occurred by chance.
- Medicines have a great positive influence on global health and economic productivity by saving lives, increasing life spans, reducing suffering, preventing surgeries and shortening hospital stays.
- The drug discovery and drug development are complex and expensive industries undertaken by pharmaceutical companies. This complex and lengthy path from discovery to commercialization is necessary to assure the effectiveness and safety of the drug product. Governments and regulatory bodies regulate what drugs can be marketed, how drugs are marketed, drug pricing.
- The whole process of drug discovery and development takes an average of 10-15 years. For every 5,000-10,000 compounds that enter the research and development pipeline, ultimately only one receives approval.
- Research-based pharmaceutical companies are committed to advancing science and bringing new medicines to the treatment of diseases.

Healthcare System in Egypt

- Egypt is developing country with a large diverse and growing population of over 100 million; and ~20% of the population is below the poverty level.

- The health system in Egypt is fragmented with multiple service providers.

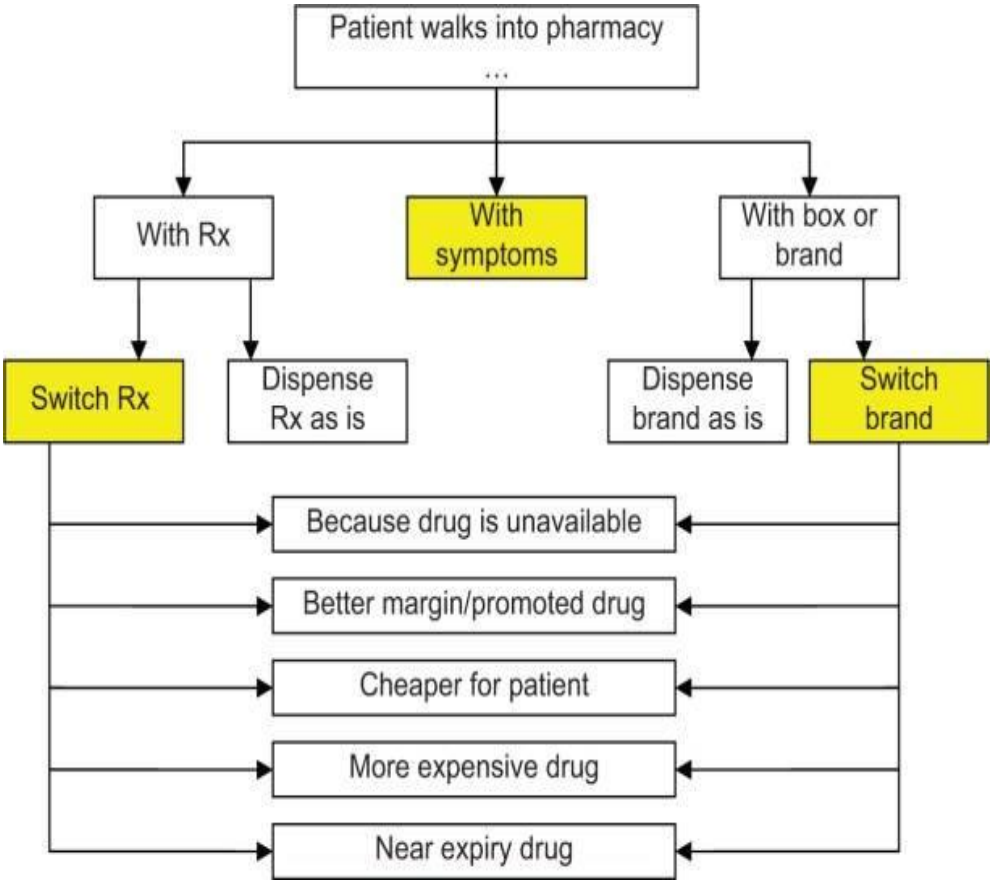
- The Ministry of Health and Population (MOHP) is the governing official body that responsible for providing and regulating health services. Services are delivered through different establishments managed by the MOHP, such as public hospitals, university hospitals and hospitals belonging to the Health Insurance Organization and private hospitals.

- The pharmacist has long held an important role in the health care system. Doctors use pharmacists as a source of information about drugs, especially drug interactions.

- Pharmacists supply patients with drug information and regularly recommend over-the-counter medications. In order to help reduce the cost of medications for patients, pharmacists help with generic substitutions.

- Pharmacies are widely available throughout Egypt. Larger chains operate 24-hour services while the majority of pharmacies also provide home delivery.

- In order to better understand the pharmaceutical industry, it is essential to understand the flow of goods and information according to manufacturers and/or importers, physicians in clinics and hospitals, the patient or consumer who uses the pharmaceuticals and the dispensers of pharmaceutical drugs (community pharmacies and hospital pharmacies).
- Pharmacists supply patients with drug information and regularly recommend over-the-counter medication.



The pharmacist's role in dispensing of pharmaceuticals

- Pharmaceutical industry and the pharmaceutical marketing ensure that the drugs are available at the right time, at the right place, in the right quantity, at a reasonable price and with the right information.

- Bringing information about new treatments into the healthcare system is challenging and requires significant effort.
- This interaction between pharmaceutical representatives and health care professionals is often referred to as "marketing and promotion"

- The lack of appreciation for the pharmaceutical marketing system stems from many misconceptions and barriers to marketing in the pharmaceutical industry, and from the lack of understanding of the meaning of the term **"drug or pharmaceutical marketing".**

Pharmaceutical Industry in Egypt

Egypt has the largest pharmaceutical industry base in the Arab and MENA region. Egypt maintains its position as the second largest pharmaceutical market, second only to Saudi Arabia.

- The pharmaceutical industry is comprised of companies engaged in researching, developing, manufacturing and distributing drugs for human or veterinary use.

- The pharmaceutical companies provide information to prescribing physicians, to consumers and to the hospitals, retail pharmacies, and medical insurance dispensers of the drugs. The drug products are sold directly to the various pharmacies and other dispensers who provide the drugs to the consumers/patients.

- The pharmaceutical companies have historically used push marketing activities, i.e. trade sales promotion and personal selling directed toward the physician who controls the consumer's access to prescription medications.

- Individuals are free to enter any pharmacy and purchase any drug by name and generally in any quantity desired. The pharmacist not only dispenses medicines but administers injections that may or may not be prescribed by physicians in the pharmacy.

- A substantial portion of the population cannot afford frequent physician visits and only do so in extreme situations. Many of those who can afford physician visits may do so only after attempting to self-medicate. For common ailments, they are more likely to either ask the pharmacist for a recommendation of medication or ask for a specific medication that they or someone else used for similar symptoms.

- The Egyptian pharmaceutical market is controlled by:
  - Multinational companies
  - Private sector companies
  - Public sector

- Pharmaceutical industry in Egypt comprised of many foreign, privately owned and public companies. Local pharmaceutical companies are mostly focusing on generic medicines rather than research.

- **TOLL Manufacturer (Toll Processing):** is an arrangement where a company will process raw materials or partly completed goods for another company.

- The pharmaceutical sector in Egypt is one of the oldest sectors in the country, founded in 1939 with the establishment of **MISR** Company for Pharmaceutical Industries.

- The public sector of pharmaceutical companies operates under the umbrella of the Holding Company for Pharmaceuticals, Chemicals and Medical Appliances **(HoldiPharma)** that established in the 1990s. The HoldiPharma umbrella covers **12 affiliate companies**.



Holdipharma Affiliates:

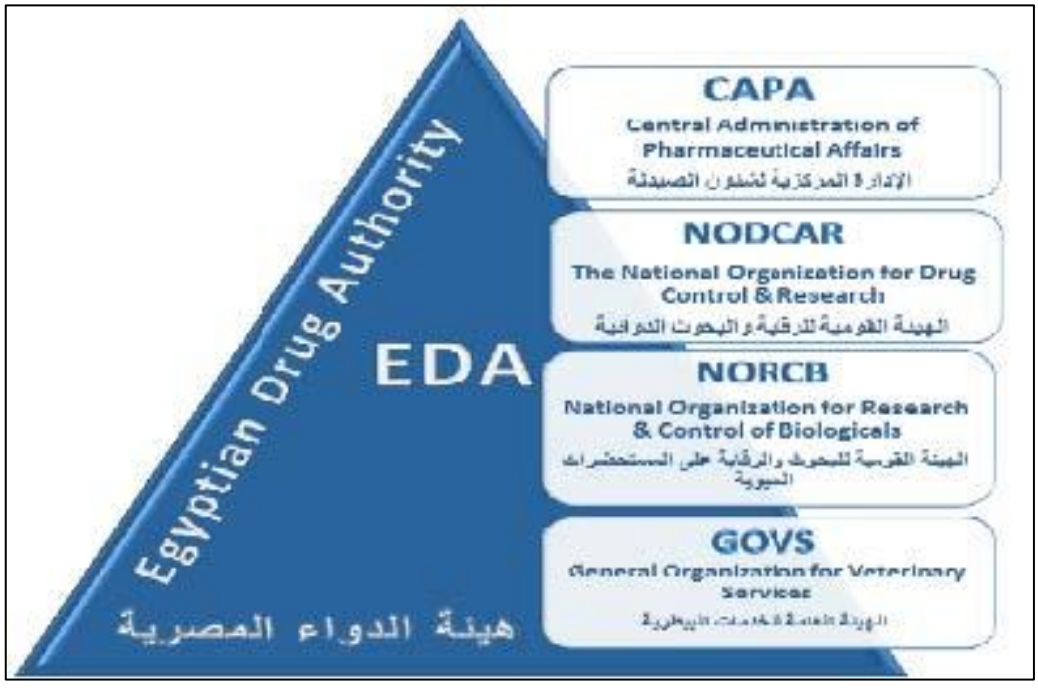
1- Nile Company for Pharmaceuticals and Chemical Industries
2- El Nasr pharmaceutical chemicals Co.
3- Arab Drug Co.
4- Alexandria Co. for Pharmaceutical
5- Memphis Co. for Pharmaceuticals and Chemical Industries
6- Kahira for Pharmaceuticals & Chemical Industries Co.
7- Chemical Industries Development Co. (CID)
8- Egyptian Pharmaceutical Trading Co
9- El Gomhouria Co. for Trading Chemicals & Medical Appliances
10- Misr Co. for Pharmacutical Products
11- Medical Appliances & Packages Co.
12- Holdipharma For Marketing & Export Co.

Drug Regulation and Approval

- The Egyptian government regulates the pharmaceutical market from registration, pricing and regulation. While there are Egyptian laws prohibiting the dispensing of drugs without a physician's prescription, these laws are generally ignored by the pharmacist, the patient, and the regulators.

- The official drug regulatory body in Egypt is the Egyptian Drug Authority (EDA), operating under the umbrella of the MOHP. The Egyptian Drug Authority (EDA) was established in 2008 by the Ministry of Health in the aim of having an independent regulatory body responsible for all pharmaceutical-related activities, similar to the function of the FDA in the United States.

- The EDA comprises 3 principal, independent organizations:
  1. Central Administration of Pharmaceutical Affairs (CAPA)
  2. National Organization for Drug Control & Research (NODCAR)
  3. National Organization For research & Control of Biologicals (NORCB)



ROLES OF REGULATORY BODIES

EDA

- Protecting people's health by regulating the safety and quality of pharmaceutical products
- Monitoring the regulation and legislation of pharmacy practice
- Ensuring the availability of high-quality medicines at affordable prices
- Conducting strategic planning and policy making for the pharmaceutical sector

CAPA

- Finalizes the approval for market entry
- Provides licenses for factory operations
- Issues pharmacy licenses
- Inspects production facilities
- Includes Drug Policy and Planning Center (DPPC)
- Reviews the documentations and registration application
- Provides price recommendations
- Provides its approval for raw materials to be used, packaging materials, supplements and biological products, medical appliances

NODCAR

- Carries out quality testing of products through laboratory analysis

NORCB

- Ensures the safety, quality, and efficacy of all imported and domestic biologicals, and checks to see if the products are in compliance with WHO & and international standards

MARKET AND MARKETING RESEARCH

Pharmaceutical Market

- Pharmaceutical market is a complex system in which a large number of stakeholders strive to achieve their interests. Many stakeholders (governments, regulators, payers, purchasing organizations, hospitals, physicians, pharmacies, patients, care givers and advocacy groups) play a critical role along a brand's lifecycle and in achieving a pharmaceutical product's commercial success.

- The developed countries constitute the largest share of pharmaceutical spending. The United States continued to stand as the market leader. The United States is followed by "Pharmerging" countries (including China, Brazil, India, Russia, Mexico, Turkey, Poland, Venezuela, Argentina, Egypt and Ukraine).

- Egypt remains the largest producer and consumer of pharmaceuticals in the Middle East and Africa. It also maintains its position as the second largest pharmaceutical market, second only to Saudi Arabia.

- The pharmaceutical industry in Egypt imports roughly 90% of raw materials used in domestic production. This can be attributed to the market's dependence on foreign active pharmaceutical ingredients (API) due to relatively weak domestic manufacturing capabilities.

- With the mergers and acquisitions being rampant in the pharmaceutical field, these shares fluctuate and even the places in the top list also change frequently.

- The pressure on drug prices has made global pharmaceuticals to mergers and acquisitions, in order to reduce R&D costs besides increase reach so as to spread research expenditure over a larger basis.
- A pharmaceutical company generally does not specialize in all the pharmacological groups. It generally focuses on two or three diseases and develops products for treatment of these diseases.

Examples:

- GlaxoSmithKline controls an estimated 46% of the anti-migraine market.
- Warner- Lambert controls almost 50% market of the cholesterol lowering drugs sold all over the world.
- Schering-Ploug controls almost 40% market of anti-allergy drugs.

MARKET:

- The word "market" is derived from the Latin word 'Marcatus' which means merchandise, trade or a place where business is conducted.
- The term market also means a place where goods are bought and sold Market in economics a market is a set of potential buyers and sellers of a product or a service.
- **Philip Kotler definition:** "A market consists of all the potential customers sharing a particular need or want who might be willing and able to engage in exchange to satisfy that need or want".

- Market can be classified on different basis. There are different types of markets on the basis of:
  - geographical area
  - Time
  - business volume
  - nature of products
  - Consumption
  - Competition
  - seller's situation
  - nature of transaction

Classification of market on the basis of geographical area

- Local market
- Regional market
- National market
- International or global market

Classification of market on the basis of time

- Very short-term market
- Short-term market
- Long-term market
- Very long-term market

Classification of market on the basis of volume of business

- Wholesale market
- Retail market
- Short-term market
- Long-term market

Classification of market on the basis of consumption

- Consumer Market
- Industrial Market

Classification of market on the basis of competition

- Monopoly Market
- Perfect Market
- Imperfect Market

Marketing is a mean of attracting people to do something they would not do or to buy something they do not really want to buy. Marketing is an ongoing process of research, planning and evaluation.

Five Core Concept

1. Needs, wants, demands
2. Products and services
3. Value, satisfaction, quality
4. Exchanges, transactions, relationships
5. Markets

The principle of marketing is learning what your customers want and then delivering it (marketing research).

Marketing research:

- **Marketing research** is a systematic design, collection, analysis, interpretation of data in order to make a marketing decision.

- Market research will complement the marketing mix strategy as it allows making educated decision about selecting markets, image and branding, product and services.

- Market Research aims to describe and analyze markets (size, structure, growth), whereas, marketing research is broader than market research that covers a much broader range of topics - customers, products, competitors, channels, suppliers.

- Marketing research is vital in identifying, anticipating and satisfying customer needs profitably. Accurate information enables intelligent decision making in pursuit of organizational objectives. Information must be collected, monitored, analyzed and communicated all around the organization.

The roles of Marketing Research:

- Identify and define and the marketing opportunities
- Understand marketing process
- Generate marketing activities
- Monitor marketing strategies
- Study competitors and marketing environment
- Study the behavior, needs, demand and preferences of consumers
- Study the changes in technology, products ranges, consumers taste, economic conditions and distribution channels.



Steps of Marketing Research

The stages in the marketing research process are:

1- Define the problem

- The problem must be defined adequately, and each company must have a clear answer to the questions, what is to be researched and why the research is to be done?

2- Develop the research plan/objectives

- This step involves gathering the information relevant to the research objective. Once the research plan/approach is decided, the researcher has to design a research plan and have to decide sample size, sample medium, sample procedure and sample methods.

3- Collect the data

- This is the most important and expensive method of marketing research, where the researcher has to adopt the methods to collect the information.
- The researcher can collect the data pertaining to the research problem from either the primary source or the secondary source or both.
- The data collection techniques are either qualitative or quantitative research. **Qualitative research** is any which does not involve numbers or numerical data (understanding the market environment). **Quantitative research** is numerical (measuring market phenomena) and they are analyzed using mathematical and statistical methods.
- There are two main forms to collect data either from **primary data or secondary data or both.**
- When conducting **primary data** research information is collected directly from the original sources by interviews or surveys, focus groups or customers to solve a problem. Primary data are collected when there is no current, or sufficient, data to inform your decision making.
- Whereas **secondary data** are information that has already been collected in books, newspaper, report statistics or industry reports that can be used to draw a marketing decision.
- The benefit of primary data is that you can ask very specific questions that require answers in order to make decisions; as a result, primary data are more expensive than secondary data**.**

4- Analyze and interpret the data

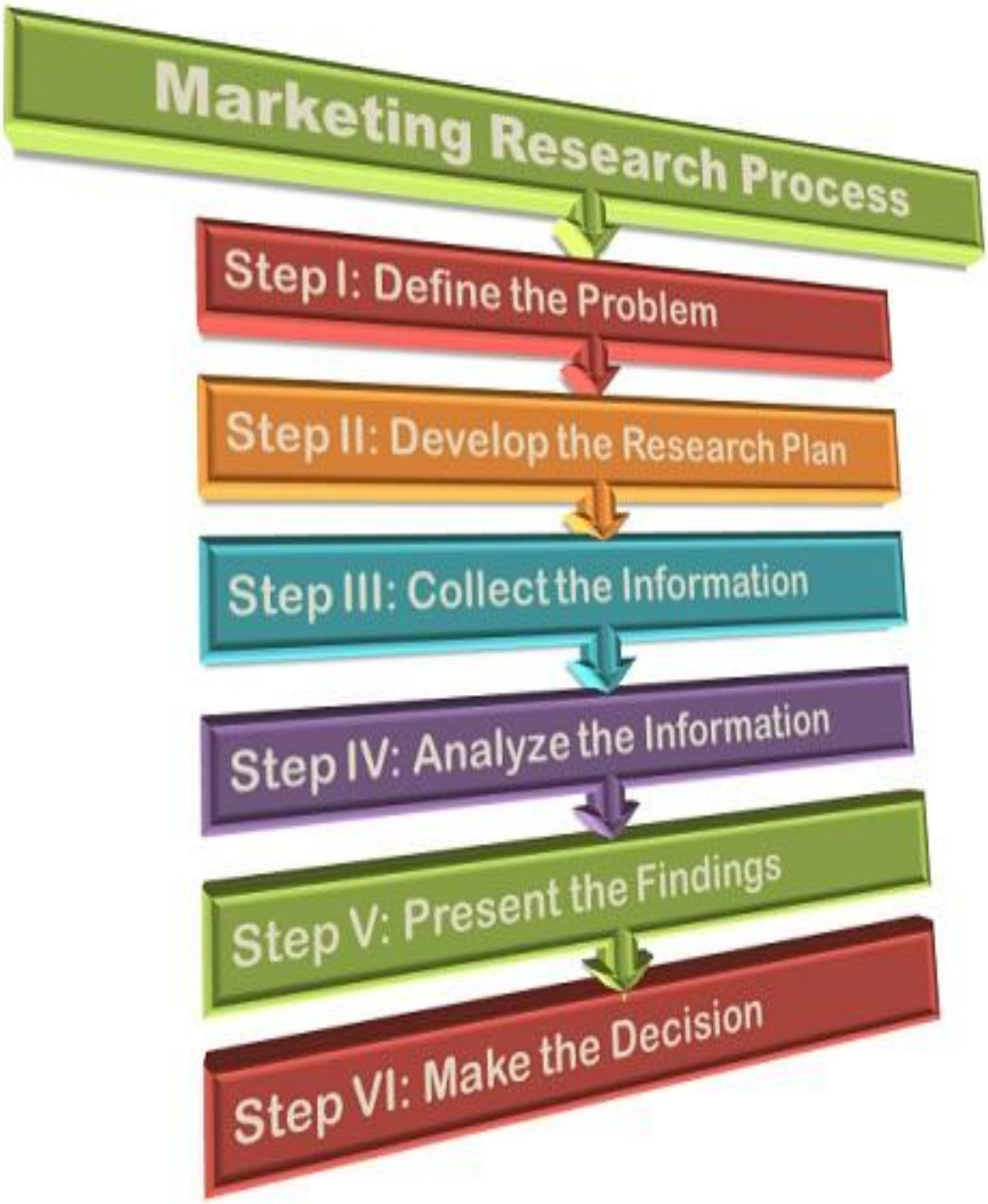
- Once the information is collected the next step is to organize the data it in such a way that some analysis can be obtained. The researchers use several statistical techniques to perform the analysis.

5- Present the report

- The findings of the research data are presented to the top level management to reach a conclusion.

6- Make the decision

- This is the last step of the marketing research, once the data are presented to the top level management to rely on the findings and take decisions in line with the market research.


Marketing Research Process
Step I: Define the Problem
Step II: Develop the Research Plan
Step III: Collect the Information
Step IV: Analyze the Information
Step V: Present the Findings
Step VI: Make the Decision

Market Segmentation, Target Market and Positioning

- The process of defining and grouping a large homogenous market into identifiable segments having similar needs, wants or demand characteristics is called **"Market segmentation";** then specific group of these are targeted considered as a **target market**.
- Because the organization can't satisfy all consumer needs, it must concentrate its efforts on certain needs of a specific group of potential consumers (target market); group of people expected to benefit from the product.
- Characteristics of target market: **identifiable – accessible – profitable – compatible** with other served groups.

Market Segmentation

Market segmentation is the sub-dividing of customers into homogenous sub-set of customers where any sub-set may selected as market target to be reached with distinct marketing mix - Phillip Kotler.
It is the division of a large market into smaller target markets or customer groups with similar needs and/or desires.

Examples of common segmentation patterns include:

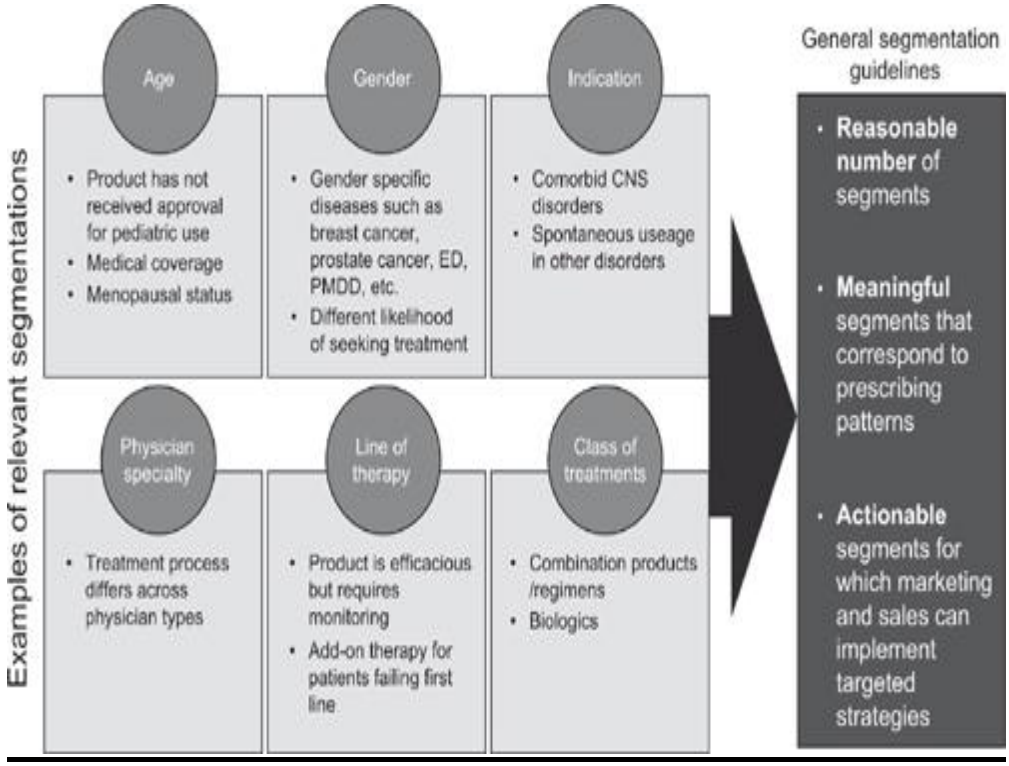
— - by age
— - by gender
— - by race
— - by severity of the disease
— - by stage of the disease
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Examples of less common segmentation patterns include:

— - by specialty of the physician
— - by treatment site
— - by risk-factors or by geography

- Market segmentation identifies bases for segmenting the market. The pharmaceutical segmentation of the market can be based on pharmacological groups (anti-malarials, antacids, hormones), prescriber segments (physicians, gynaecologists) or disease segments (anti-diabetics, cholesterol lowering drugs).

- When one segments the market by customer-specialty (pediatric market or orthopaedic market) what he is trying to attempt is "concentrated marketing".
- The basic market segmentation strategies are based on **demographic differences, behavioral differences, psychographic differences and geographical differences**



Target Market

Target market consists of buyers who share common needs or characteristics that the company decides to serve.

Segment Strategy

Undifferentiated Marketing

— Using an undifferentiated marketing strategy, a company might decide to ignore market segment differences and go after the whole market with one offer. This can be because there are weak segment differences.

Differentiated Marketing

— Using a differentiated marketing strategy, a firm decides to target several market segments and designs separate offers for each.

Concentrated Marketing

— Concentrated marketing is appealing when company resources are limited. Instead of going after a small share of a large market, the firm goes after a large share of one or a few submarkets.

Market Targeting Strategies

Undifferentiated (Mass) Marketing	Differentiated (Segmented) Marketing	Concentrated (Niche) Marketing	Micromarketing	
			Local Marketing	Individual Marketing
Whole market with one offer → Ignore segments	Decide to target several different market segments, separate offers for each	Concentrate on one or a few segments or niches	→ cities, neighbour-hoods, specific stores	→ 1 person



Product Positioning

Product positioning: "The act of designing the company offerings & image to occupy a distinctive place in the mind of target market".

- Pharmacist can position themselves as innovators, medication experts, caring practitioners or partners in meeting health-related needs

Positioning:

- Product/service being marketed.
- Product packaging
- Consumer promise
  - Statement summarizing the benefit of the product or service to the consumer
- Positioning of product or service
  - Statement that distinctly defines the product in its market and against its competition over time.

MARKETING MIX

- Marketing is about getting the right goods and/or services (products) to the right people (target market), at the right place, time and price, using the right promotion techniques. This can be achieved by using the **marketing mix** or what is commonly referred to as the **"4 Ps":** product, price, place, and promotion.

- The marketing mix has been defined as the "set of marketing tools that the firm uses to pursue its marketing objectives in the target market". Thus the marketing mix refers to four broad levels of marketing decision, namely: product, price, place, and promotion.

- **Marketing mix** is also referred to as the combination of variables that a business uses to carry out its objectives and meet customer needs. The four categories of marketing mix and commonly called the 4P's are:
  1- Product
  2- Price
  3- Place (distribution)
  4- Promotion

- The early 1960s, Professor Neil Borden at Harvard Business School identified a number of company performance actions that can influence the consumer decision to purchase goods or services. Borden suggested that all those actions of the company represented a 'Marketing Mix'.

- The 4Ps of marketing were first introduced in 1967 by Philip Kotler. Professor Jerome McCarthy, at the Michigan State University in the early 1960s, suggested that the Marketing Mix contained 4 elements.
- When the product is a service, there are three additional Ps: people, processes and physical evidence (Kotler et al., 2002).

The7Ps and 7Cs

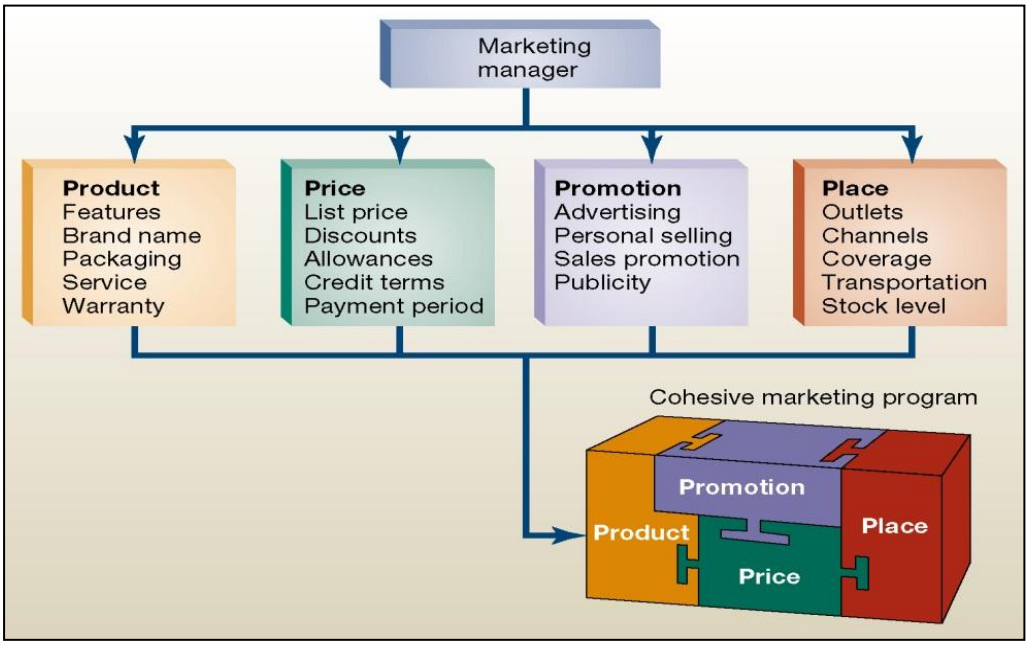
The marketing mix can be approached from two directions:

1- A self-centered "P" approach –from the viewpoint of the organization (organization Facing)
2- A consumer-centered "C" approach –from the viewpoint of the consumer (consumer Facing)

Organization Facing

The marketing mix is the combination of variables that a business uses to carry out its marketing strategy and meet customer needs. The marketing mix that makes up an organization's marketing called the 4Ps:

1. Product
2. Price
3. Promotion
4. Place



Extended Marketing Mix

- Traditional 4Ps extended to cope with today's changing environment. There was an expansion from the 4Ps to the 7Ps marketing model. The 7Ps model is a marketing model that modifies the 4Ps model.
- The marketing mix 7P's are:
  1- Product
  2- Price
  3- Place
  4- Promotion
  5- Process
  6- People
  7- Physical evidence

7Ps & 7Cs

The 7 Ps		The 7 Cs
Organisation Facing		Customer Facing
Product	=	Customer/ Consumer
Price	=	Cost
Place	=	Convenience
Promotion	=	Communication
People	=	Caring
Processes	=	Co-ordinated
Physical Evidence	=	Confirmation

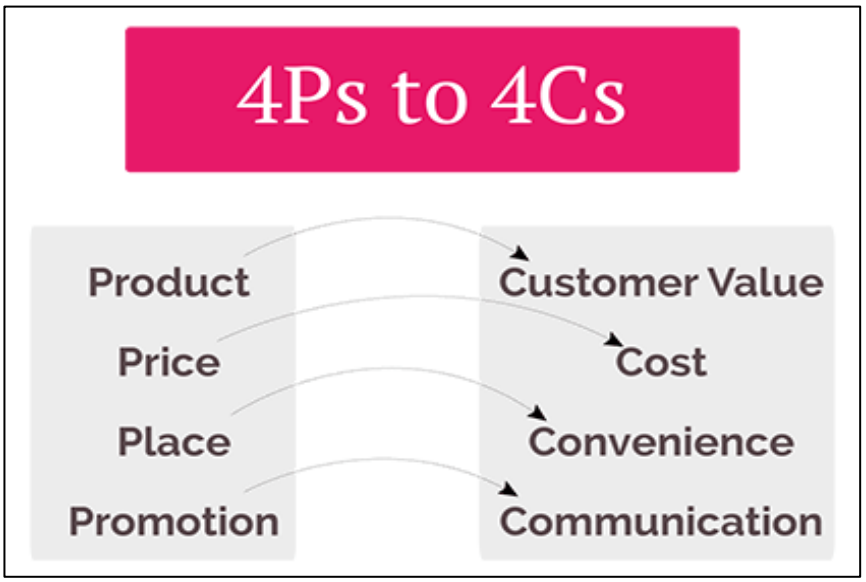
Consumer Facing

The model of 4 Cs was introduced in 1990 as a more customer-driven replacement of the 4 Ps.

There are two theories based on 4 Cs:
Robert Lauterborn's 4 Cs: (consumer, cost, convenience, and communication)

Shimizu's 4 Cs (commodity, cost, channel, and communication).

Another way to view the 4Ps is to remember that products provide consumer solutions, price represents consumer costs (financial and non-financial), place provides convenience, and promotion enables two-way communication.



The Marketing 7Ps



1. Product

Many uses the marketing term "product" in reference to a tangible item, however, products can be tangible and/or intangible items. If one remembers that in marketing a product can be anything satisfying a need or want, tangible and/or intangible, the application of marketing in pharmacy is better aligned.

- Organization offering (Tangible goods -any item of value- and services).
- Marketing Myopia: (Product vs. Activities for customer needs) e.g. In Pharmacy a business of dispensing medications is too myopic. A major consideration in service delivery is matching levels of demand and capacity
- Applicable mechanisms for better matching supply and demand in services are (reservations, appointments)
- Applicable mechanisms for better standardization of provided services – enhance the quality of care - are (Blueprints, protocols and guidelines).

Differences between Goods and Services

Physical goods	Services
tangible	intangible
homogeneous	heterogeneous
Production and distribution are separated from consumption	Production, distribution and consumption are simultaneous processes
A thing	An activity or process
Core value processed in factory	Core value produced in the buyer-seller interaction
Customers do not participate in the production process	Customers participate in production
Can be kept in stock	Cannot be kept in stock
Transfer of ownership	No transfer of ownership

- **Pharmaceutical goods:**
  - Pure Tangible (toothpaste, toilet paper)
  - Tangible with accompanying service (sales service)
  - Hybrid (equal effect- a meal in a restaurant)
  - Major service with minor tangible (airplane transportation (minor- tangible foods and drinks)
  - Pure service (psychotherapy, physiotherapy)

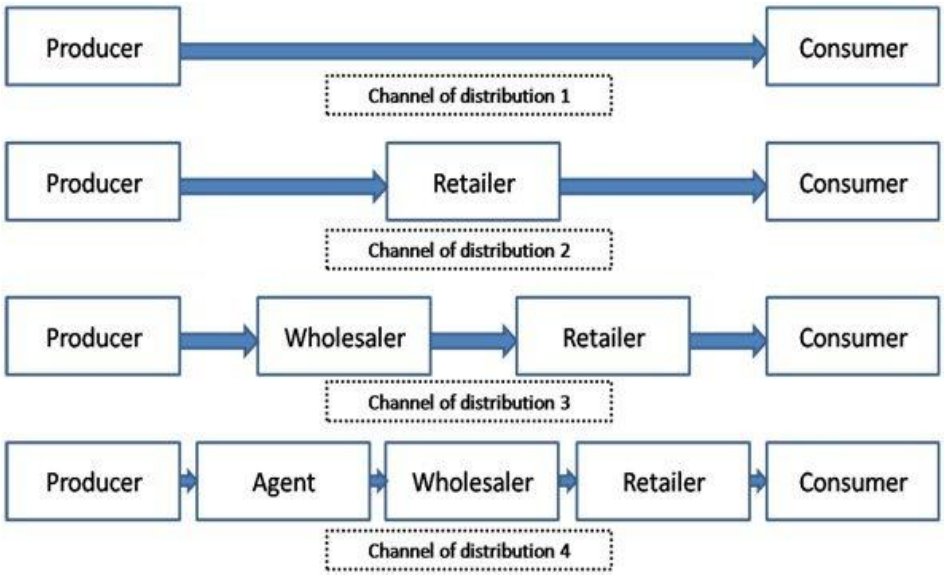
- **Pharmaceutical services:**
  - Dispensing services
  - Dispensing-related value added pharmaceutical service
  - Non-dispensing-related value added pharmaceutical service

2. **Price**
   - To the producer: the figure set after considering cost functions (production, distribution, selling & the profit)
   - To the customer: what is given up or sacrificed to gain the product
   - Important issue is "the reluctance of the pharmacist to request compensation for the provided service" as they do not separate services and goods (Lawyers, physicians). This causes consumers to assume:
     - There is no service accompany prescribing drug product.
     - Service with these products are included in the drug price.

- **Pricing Tactics:**
  - **Skimming**
    - Launching with a high price when there is little competition, then reducing the price later. Often used with technology.
  - **Penetration**
    - Low price charged initially to penetrate the market and build brand loyalty; price is then increased e.g. introductory offers on magazines.
- **Price Leader/Price Taker**
  - **Price leader –** businesses that dominate the market can often dictate the price charged for a product. Other businesses follow this lead.
  - **Price taker –** businesses have to charge the market price. This is often the case where there are many small firms competing against each other.

3. Place (Distribution)

- Place or distribution is a major ingredient of the marketing mix. Distribution channel are the pathways through which the products flow from the place of manufacture to the place where the consumers can buy them. There are two major types of distribution channels: Wholesalers and Retailers.
- "Any activity designed to create utility by having the product available when and where targeted customer want to buy it"
- For pharmacy place may refer to provide a private area for counseling and manipulating other professional services.
- Distribution channels
  - A wholesaler is every person who operates a business wherein he sells drugs or drug sundries at wholesale, namely in quantity lots other than to the consumer.
  - Retail pharmacy is the place where pharmacists practice the profession of pharmacy. Pharmacy retailers have to employ the services of registered pharmacists for dispensing of drugs.



4. **Promotion**
   - To inform, remind and persuade the target market about an organization and its offerings.
   - The aims of promotion are to raise awareness, encourage sales, create or change a brand image and increase market share.
   - Promotion mix include: advertising, sales, public relations, direct marketing & personal selling.

5. **Process**
   - Creation & delivery of product elements require the special attention be given to "the method and sequence for the design, implementation and evaluation of processes"
   - For pharmacy, the focus may be on the entire process of dispensing and production.
   - Poorly designed process may lead to ineffective service delivery, causing customer and employee frustration and dissatisfaction.
   - Questions to be asked: What processes do they have to go through to acquire the services? How do people consume services? Where do they find the availability of the service?
   -

6. **People**
   - Selection, training & motivation of employees are critical tasks for service firms.
   - Interaction with employees can have a significant impact on perceptions of services quality.

- Pharmacists, technicians, maintenance staff, volunteers, students and anyone else who has contacts with the customers need sufficient training.

7. **Physical Evidence**
   - Includes buildings, landscape, employee, finishing's, signs, printed materials, internet/homepages & other visible and tangible cues may provide evidence to customers concerning the service quality of an organization.
   - Questions that should be asked by company managers: "Do we have enough parking? Is the appearance of the pharmacy neat? Does it imply a professional image? Is our equipment up to date.

Marketing Mix 4C's

The 4Cs marketing model was developed by Robert Lauterborn in 1990.
It is a modification of the 4Ps model. It is not a basic part of the marketing mix, but rather an extension. The components of this marketing model:

1. **Cost –** Price is not the only cost incurred when purchasing a product. Cost of conscience or opportunity cost is also part of the cost of product ownership.
2. **Consumer –** A company should only sell a product that addresses consumer demand. So, marketers and business researchers should carefully study the consumer wants and needs.
3. **Communication –** Promotion is manipulative while communication is "cooperative". Marketers should aim to create an open dialogue with potential clients based on their needs and wants.
4. **Convenience –** The product should be readily available to the consumers. Marketers should strategically place the products in several visible distribution points.

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